COURSE

## Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

# Organisational design

**Unit 1: Marketing and people · 1.3.4 Managing people: organisational design**

Revision for Unit 1: Marketing and people: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International A level Business (IAL)** | **Organisational design** |

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Matrix team problem** | TASK 2 **Branch power risks** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank manager cost** | TASK 4 **Delayering saving** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

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|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Who sets prices** | TASK 6 **Fix slow approvals** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

**Which problem is most likely?**

PICK ONE

- ✔ **Conflicting orders from two bosses**
- ○ Less sharing of ideas across teams
- ○ One manager’s span is too narrow
- ○ Too little variety for staff

**Why:** In a matrix staff answer to two managers, whose demands can clash.

## Task 2

ROUND 1

You let branch managers set prices and hire their own staff.

**Which two are the main risks?**

PICK TWO

- ✔ **Branches charge different prices**
- ○ Decisions reach branches slowly
- ✔ **Head office loses some control**
- ○ Local managers feel less trusted
- ○ More decisions go to head office

**Why:** Local decisions are faster, but less consistent and harder to control.

## Task 3

ROUND 2

Three branches: managers, their pay, and the staff they lead.

**Order by management cost per worker, lowest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **6 managers on £36,000, 72 staff**
2. **4 managers on £40,000, 40 staff**
3. **3 managers on £45,000, 27 staff**

**Why:** £3,000, £4,000 and £5,000 per worker: wider spans cost less.

## Task 4

ROUND 2

You cut a layer of middle managers.

**Saving in year 1?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Managers removed | **2 staff** |
| Pay of each, a year | **£35,000** |
| Redundancy pay, each, once | **£9,000** |
| Rise, each of the 7 who stay | **£2,500** |

METHOD

**Saving = managers removed × (pay − redundancy) − staying managers × rise**

2 × (£35,000 − £9,000) − 7 × £2,500 = £34,500

**Why:** Year 1 carries the redundancy pay; the full saving comes from year 2.

## Task 5

ROUND 3

Buyers complain that the same model costs more in another of your branches.

**What should you change, and why?**

PICK A OR B AND GIVE A REASON

- ○ Let each branch keep its prices
- ✔ **Set prices at head office**

**Why:** Central pricing makes every branch charge the same.

## Task 6

ROUND 3

Branch staff wait days for head office to approve each discount, and they lose sales.

**Which fix fits, with its main risk?**

PICK ONE

- ○ Add a layer: spans get wider
- ○ Centralise further: slower replies
- ✔ **Decentralise: branch prices may differ**
- ○ Decentralise: decisions get slower

**Why:** Branch decisions are quicker, but each branch may price differently.

# Final questions

**6**
questions for each pupil

**129**
Level 3 Business questions

**7**
of them on organisational design

**The game draws 6 of the 129 Level 3 questions; these 7 are about organisational design.**

1 A dealer group gives each branch manager authority over local pricing within a defined margin floor. What organisational change does this describe?
**Decentralisation within a controlled decision boundary.**

2 A national service network has slow approvals because every local refund must reach head office. Which redesign most directly addresses the delay while retaining control?
**Delegate refunds up to a limit; audit exceptions.**

3 Branch staff wait two days for head-office approval of routine parts substitutions. Best structural response?
**Delegate within safety and cost limits; escalate and audit exceptions.**

4 A dealer group lets each branch manager approve courtesy-car bookings up to a set value without contacting head office. Which organisational feature does this describe?
**Delegation of authority within defined limits.**

5 A sales manager reports to the regional director, who reports to the managing director. Which structure feature is this?
**The chain of command.**

6 A dealer group lets each branch manager set trade-in prices locally instead of head office. What is the main risk?
**Branch prices and margins vary.**

7 After a merger, a workshop manager supervises fourteen technicians instead of six. What has changed, and what is the likely effect?
**Wider span: each technician gets less of the manager's attention.**